

Journal of Financial Crises

Volume 7 | Issue 2

2025

Lessons Learned: Ignazio Angeloni

Mercedes Cardona

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Finance and Financial Management Commons](#), [Law and Economics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Cardona, Mercedes (2025) "Lessons Learned: Ignazio Angeloni," *Journal of Financial Crises*: Vol. 7 : Iss. 2, 356-358.

DOI: <https://doi.org/10.17132/2693-3179.1659>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss2/13>

This Lessons Learned is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Yale Program on Financial Stability

Lessons Learned

Ignazio Angeloni

By Mercedes Cardona

Ignazio Angeloni was an adviser on financial integration, financial stability, and monetary policy to the Executive Board of the European Central Bank during the European Sovereign Debt Crisis and later became director general of financial stability. He coordinated the preparations for establishing the Single Supervisory Mechanism (SSM), a component of the European banking union. The SSM was created to address macroprudential gaps identified during the Global Financial Crisis and the Sovereign Debt Crisis. Angeloni has advocated in his academic papers for completing the work of the SSM by establishing a regional deposit insurance scheme that would backstop the work of the related Single Resolution Board of the European banking union, as the Federal Deposit Insurance Corporation does in the United States. This Lesson Learned is based on an interview with Angeloni; the full transcript may be found [here](#).

To be best positioned to address a financial crisis, a banking system needs a fully built regional framework of supervision and resolution.

The European Central Bank (ECB) acted quickly to provide liquidity as the Global Financial Crisis (GFC) ground on, feeling protected by the limited exposure of European economies to the downturn in the US subprime mortgage market. But “that complacent feeling lasted little,” said Angeloni, as the GFC morphed into the Sovereign Debt Crisis in 2010.

In Greece, public debt endangered the health of banks, while in Ireland, the banking crisis endangered the public finance sector. A new term entered the lexicon, Angeloni explained, the so-called “doom loop,” a vicious cycle of contagion that spread from the public sector to the banking sector and back, across national economies—later including the larger economies of Italy and Spain—and eventually threatening the stability of the euro.

The crises exposed the need to address gaps in the European Union’s banking supervision framework, which the EU attempted to address by launching the SSM to centralize banking supervision, regulation, and crisis management across its member states. This required a legislative effort to create the tools and bureaucratic staffing necessary—ECB staff grew by more than 1,000 people in a matter of months, Angeloni recalled.

The European banking union needs three strong pillars to prevent panic and doom loops, argued Angeloni: supervision with supporting legislation; resolution and crisis management; and deposit insurance. The EU reacted soundly to the sovereign crisis, but that resolve has weakened with time, leaving some key elements of the crisis management framework incomplete, Angeloni explained.

Ex post, not all these elements have seen the light. The supervision has been up and running since November 2014. The urgent priority dictated at the time by the crisis generated sufficient political pressure to implement it quickly. As soon as the crisis

subsidized, however—also due to the fact that in the meantime supervision was doing its job well—the political incentives to set up the remaining parts waned.

The EU has a resolution authority but still lacks the technical and financial instruments (such as a strong regional deposit insurance program) that would allow the SSM to act as effectively as the FDIC in the US, Angeloni explained. Bank resolution and supervision are also divided in the EU, with supervision handled by the ECB across all the regions' banks, while resolution is only handled at the European level for the largest banks, leaving smaller banks to be liquidated at the regional level, usually at the taxpayers' expense. In addition, the Single Resolution Board in Brussels has adopted a doctrine of only intervening if there is a serious public interest.

In the experience of the last 10 years, banks “in life” are supervised by Europe, but when they “die” they're liquidated back at home, with national resources. Incentives are not aligned: there is a European supervisor, according to European principles and European legislation, but when the bank fails, it's the national taxpayer that is on the hook.

Angeloni argued that the prospect for overhauling that process is unclear, especially as nationalistic governments take power in more European countries, and the results of the 2024 European Parliament elections change the political landscape. With statutory changes requiring a unanimous vote of all 27 members, some measures may be curtailed. Angeloni noted how Italy, now under a far-right administration, blocked a treaty that would allow the ESM to provide a financial backstop to the Single Resolution Fund, similar to the backstop provided to the FDIC by the US Treasury.

The problem can be solved if the resolution authority in Brussels takes on more responsibility to resolve or liquidate all banks supervised in Europe. And having more instruments, more resources to resolve the banks and being more active, more proactive and more powerful, very much following the model of the FDIC in Washington, which is a very good organization, very professional. A year ago, the European Commission has proposed a legislation package that moves some steps in this direction, but approval will take time.

The European banking union is still the same as it was in the wake of the Sovereign Debt Crisis 10 years ago. As Angeloni concluded,

We underestimated that, in spite of making the banking sector stronger, the single market for banking products and services in Europe would not automatically jump-start. We implicitly took that for granted, but it did not happen. More work needs to be done. Specific provisions must be put in place to help the banks invest more across borders. The banking sector in Europe is still fragmented, overbanked, and inefficient. Today, this is the new frontier for banking regulation in Europe.

In any crisis, authorities should be decisive but flexible. It helps to have built some policy space beforehand.

The EU's actions to manage the crises of the early 2010s left European banking in a stronger position when the COVID-19 pandemic shut down the region's economies and threatened the eurozone. No eurozone banks failed during the pandemic or the banking turmoil in early 2023 that resulted in bank failures in the US and Switzerland.

The EU's COVID measures—which included relaxing capital and liquidity requirements, encouraging banks to use their macroprudential buffers, and directing banks to suspend dividend payments—were very effective in providing stability during the crisis. Exiting these measures was complicated, but the pandemic supervisory measures were phased out by early 2022. Angeloni reflected on the two primary lessons from Europe's back-to-back crises: be prepared for the crisis ahead of time, and respond to it quickly and decisively when it arrives:

The lesson from any crisis is twofold. First of all, you have to have policy space at the outset. This means building up and maintaining safety margins in good or normal times. With regard to banks, this means being in a comfortable situation with regards to capital, liquidity, a clean balance sheet with safety margins, et cetera. In simple words, be ready for when the crisis comes. For the euro area, that was actually the case in 2019, before COVID, because after five years of single supervision, the banks had been significantly strengthened. When COVID hit, euro area banks were much stronger than they used to be earlier on.

Second, the policy response to the crisis must be prompt and decisive. In the case of the supervisory response to COVID-19, that meant forbearance. Forbearance is a bad thing normally, but it is a vital temporary response against a crisis in which healthy banks are hit by an adverse shock threatening their viability. While forbearance is applied, an eye should be kept to the exit strategy. How easy will it be to take those measures out when no longer needed? The exit strategy is important because, as I just mentioned, one must always be ready for the next crisis. Another crisis will always come, this is certain, although neither its nature nor its timing can be foreseen.

Dated: June 2025

YPFS Lessons Learned No. 2024-01